



ORACLE ERP PROCUREMENT PROCESS ON EBS

For MSA Cosmetics Trading



A collaborative effort of Ahmed Zakaria Ali, Mai Mohamed Ahmed, Shady Mohamed Bartakh, Mohamed Ibrahim Fayad, Abd El Rahman Fathi Morsy, Moustafa Raouf Ramadan.

APRIL 13, 2025

Table of Contents

1. Introduction	0
2. Project Scope.....	0
3. Step-by-Step Implementation	0
4. Multi-Organization Hierarchy Setup	4
5. Chart of Accounts Configuration	5
6. Conclusion	5
Appendix A	6
Appendix B	7

1. Introduction

Overview of Oracle ERP Supply Chain Management (EBS)

Oracle ERP (Enterprise Resource Planning) Supply Chain Management (SCM) on E-Business Suite (EBS) is an integrated solution for managing supply chain operations, procurement, inventory, and financials. It enables organizations to streamline business processes, ensure regulatory compliance, and enhance decision-making through a unified platform.

Purpose of the Project

The purpose of this project is to implement and document the step-by-step configuration of Oracle ERP Supply Chain Management (SCM) on EBS for MSA, a cosmetics trading company in the UAE. This report outlines the setup and execution of key modules, including Inventory and Procurement, also the initial setup of the multi-Organization hierarchy, and its chart of Accounts, specifically for managing the procurement of raw materials and final products, that are stored in inventory storage across multiple organizational units.

2. Project Scope

The project focuses on configuring and implementing the following Oracle EBS modules for MSA's cosmetics supply chain:

- **Multi-Organization Hierarchy** – Establishing business groups, legal entities, and operating units to manage multiple locations.
- **Chart of Accounts** – Defining accounting structures for financial transactions.
- **Inventory Management** – Setup and configuration of inventory control, unit of measure, and storage across different organizations.
- **Procurement** – Defining procurement rules, workflows, and supplier management for acquiring raw materials, packaging components and finished products.

3. Step-by-Step Implementation

Breakdown of Requirements into Tasks and Configurations

Each user requirement has been analyzed to define specific tasks and configurations required for implementing Oracle ERP for MSA's cosmetics business. The steps include

defining setup, business rules, responsibilities, and system configurations tailored to the procurement process.

Setup

MSA_Calendar is set for different periods of time that starts from the closing of year 2024 till the end on business day in December 2025.

Calendar: MSA_CALENDAR
Description: THE CALENDAR OF MSA GROUP
☐ Enable Security

Periods

Prefix	Type	Year	Quarter	Num	From	To	Name	Adjusting
APRIL	Calendar Mon	2025	2	4	01-04-2025	30-04-2025	APRIL-25	☐
MAY	Calendar Mon	2025	2	5	01-05-2025	31-05-2025	MAY-25	☐
JUNE	Calendar Mon	2025	2	6	01-06-2025	30-06-2025	JUNE-25	☐
JULY	Calendar Mon	2025	3	7	01-07-2025	31-07-2025	JULY-25	☐
AUGUST	Calendar Mon	2025	3	8	01-08-2025	31-08-2025	AUGUST-25	☐
SEPTEMBER	Calendar Mon	2025	3	9	01-09-2025	30-09-2025	SEPTEMBER-25	☐
OCTOBER	Calendar Mon	2025	4	10	01-10-2025	31-10-2025	OCTOBER-25	☐
NOVEMBER	Calendar Mon	2025	4	11	01-11-2025	30-11-2025	NOVEMBER-25	☐
DECEMBER	Calendar Mon	2025	4	12	01-12-2025	31-12-2025	DECEMBER-25	☐

Assign Access

Window 1: General Ledger Super User /Setup/Financials/Calendars/Accounting

Workday Calendar

Name: MSA
Description: MSA Calendar
Quarterly Type: 4/4/5 Week Pattern

Calendar Date Range:
From: 01-12-2024 To: 01-01-2029
Sunday Monday

Workday Pattern Shifts Dates

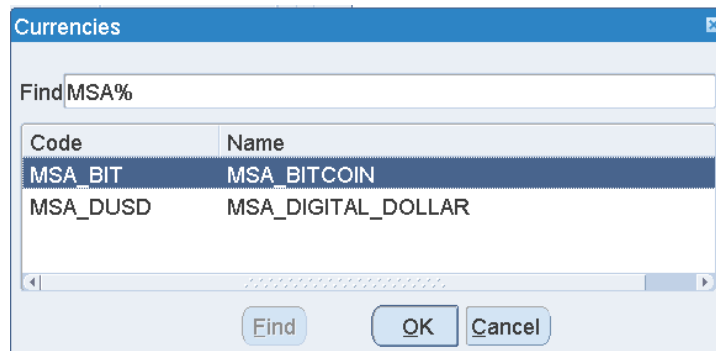
Requests

Request ID	Name	Parent	Phase	Status	Parameters
5887245	Build Workday Calendar		Completed	Normal	CALENDAR_CODE=MSA,

Window 2: Inventory/Setup/Organizations/Calendars

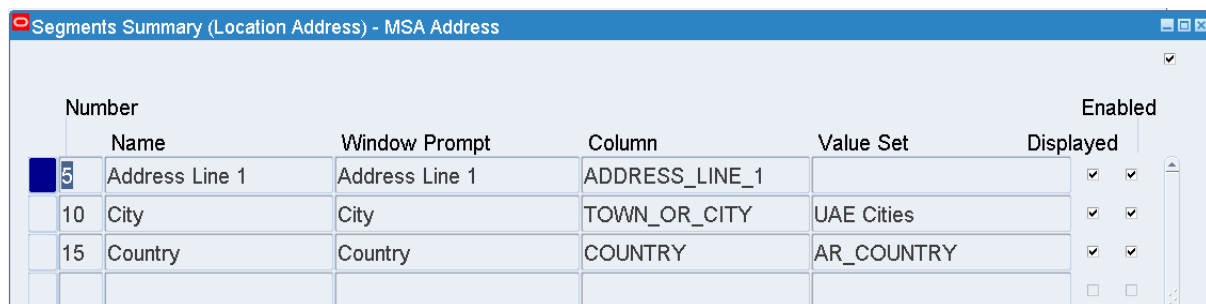
MSA_DUSD is set as the default working base currency.

MSA_BIT is another available currency.



Window 3: General Ledger Super User/Setup/Currencies/Define

MSA_Address is set as the default address style used.

A screenshot of a software window titled "Segments Summary (Location Address) - MSA Address". It displays a table with columns: "Number", "Name", "Window Prompt", "Column", "Value Set", and "Enabled". The table has three rows of data. The first row is highlighted.

Number	Name	Window Prompt	Column	Value Set	Enabled
5	Address Line 1	Address Line 1	ADDRESS_LINE_1		☒ ☒
10	City	City	TOWN_OR_CITY	UAE Cities	☒ ☒
15	Country	Country	COUNTRY	AR_COUNTRY	☒ ☒

Window 4: Inventory/Setup/Flexfields/Descriptive/Segments

Business Rules and Responsibilities

Each setup follows predefined business rules to ensure compliance and efficiency as per the followed procedures. Responsibilities are assigned based on user roles within the ERP system. **Essential Setup** has used *System Administrator, General Ledger Super User, Global HMS Manager* as responsibilities for building the Business Group for MSA Cosmetics as shown below in Figure 33. **Inventory Setup** has used the *Inventory* responsibility for defining the rest of the organizations. Additionally, the workday calendar for the operating unit is defined as well as the items' different types (See Appendix B for Item definitions).

Unit of Measure Setup for Inventory

To standardize inventory management, unit of measure (UOM) is configured as follows:

- **Base Unit:** Standard unit used for inventory tracking is the Box which contains 240 item packages.
- **Conversion Factors:** Relationship between different UOMs for efficient inventory management as depicted below.

Unit	Class	= Conversion	X Base Unit
MSA_PACK	MSA_UNITS	1	MSA_PACK
MSA_BOX	MSA_UNITS	1000	MSA_PACK
MSA_CONTAINER	MSA_UNITS	1000000	MSA_PACK
MSA_SHIPMENT	MSA_UNITS	1000000000	MSA_PACK

Window 5: Inventory/Setup/Units of Measure/Conversions

Company **users** have been created that defines the roles working in MSA. Each project member has given a user with the opportunity to log into the company, and utilize its responsibilities.

	USER_NAME	CREATION_DATE	START_DATE
1	MSA_ABELRAHMAN_FATHI	18-APR-25 20.32.32	01-DEC-24 00.00.00
2	MSA_AHMED_ZAKARIA	12-APR-25 08.39.09	01-DEC-24 00.00.00
3	MSA_MAI_MAHMOUD	18-APR-25 20.23.12	01-DEC-24 00.00.00
4	MSA_MOHAMED_FAYAD	18-APR-25 20.33.30	01-DEC-24 00.00.00
5	MSA_MOUSTAFA_RAOOF	18-APR-25 20.36.35	01-DEC-24 00.00.00
6	MSA_SHADY_MOHAMED	18-APR-25 20.06.19	01-DEC-24 00.00.00

Figure 1: Oracle Database Values for the USER Table

The MSA company trades in the cosmetics products that range in a wide ensemble for personal care. As listed below (in Window 6) the items can be creams, masks,... that run under the area of application; Face, Foot, Hair & Skin Care.

Code	Meaning	Description	Tag	From	To	Enabled
MSFACE	MSA Face Care			01-12-2024		☒
MSSKIN	MSA Skin Care			01-12-2024		☒
MSFOOT	MSA Foot Care			01-12-2024		☒

Window 6: Inventory/Setup/Items/Item Types

Purchasing

The Purchasing module setup is applied on the system as the last step in the P2P cycle. In this step we can Request items for Qotations from the Suppliers the company deal with (Figure 2). This request is considered as a result of an approved Purchase Requisition. Further steps include Auto Creating a Purchase Order for the same.

VENDOR_ID	LAST_UPDATE_DATE	LAST_UPDATED_BY	VENDOR_NAME
36170	26-APR-25 09.17.10	1013777	La Roushe
36171	26-APR-25 09.19.47	1013777	EVA
36169	26-APR-25 08.44.21	1013777	El Azaby

Figure 2: Oracle Database Values for the suppliers

4. Multi-Organization Hierarchy Setup

To support MSA's multi-organizational operations in the UAE, the following hierarchy is established:

- **Business Group:** MSA Group, representing the overall enterprise.
- **Legal Entity & Ledger:** MSA Cosmetics Trading, responsible for compliance and financial reporting.
- **Operating Unit:** Different storage facilities managing packaging materials and finished goods. This spins into 2 inventory organizations. The *MSA_OU1* is the Operating Unit representing the company.

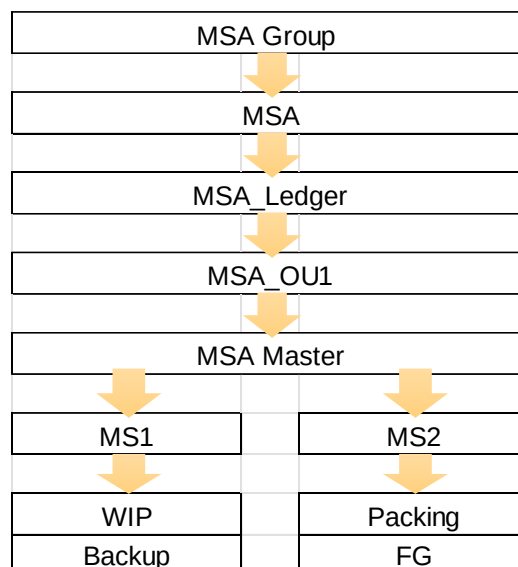


Figure 3: Multi-Organization Hierarchy

5. Chart of Accounts Configuration

The chart of accounts is configured to manage financial transactions for MSA's cosmetics business with predefined account segments, including:

- **Company Code & Vice Presidency:** Identifies MSA's business entities.
- **Department:** Classifies expenses and revenues related to procurement, and Material handling.
- **Account:** Tracks financial transactions such as raw material purchases, receipt invoices and procurement expenses.
- **Sub-Account & Product Segments:** Further classification for analyzing cost distribution across product lines.

Please refer to Appendix A for the list of accounts used.

6. Conclusion

Summary of Findings

The project successfully outlines the step-by-step configuration of Oracle ERP SCM on EBS for MSA's cosmetics trading. Key components, such as inventory, procurement, and financial structures, are implemented as per business requirements to optimize the procurement of items, and storage across multiple facilities.

Challenges and Recommendations

Challenges:

- Complex configurations requiring detailed validation for multi-organization inventory management.

Recommendations:

- Periodic review and testing of configurations to align with evolving business needs.
- Training sessions for users, including procurement teams, and warehouse staff, to enhance system adoption and efficiency.

This document provides a structured implementation guide for Oracle ERP Supply Chain Management on EBS, specifically tailored for MSA's cosmetics business in the UAE. Further details can be added based on specific system setups and configurations.

Appendix A

		Type	Purpose	Company Code	Vice Presidency	Department	Account	Sub-Account	Product
Inventory Setup	Costing Information (Valuation Accounts)	Material	An asset account that tracks material cost	001	01	001	1000	0000	000
		Outside Processing	An asset account that tracks outside processing cost	001	01	000	1450	0000	000
		Material Overhead	An asset account that tracks material overhead cost	001	01	000	1420	0000	000
		Overhead	An asset account that tracks resource and outside processing overheads	001	01	000	1430	0000	000
		Resource	An asset account that tracks resource cost	001	01	000	1440	0000	000
	Receiving Accounts	Expense	The expense account used when tracking a non-asset item	001	02	001	1004	0000	000
		Purchase Price Variance	Consider price change from PO when the standard method is used	001	01	520	5210	0000	000
		Invoice Price Variance	The difference between PO & Invoice price	001	01	520	5220	0000	000
	Receiving Options (Accounting)	Inventory AP Accrual	Handle the cost of material till supplier delivers the invoice	001	01	000	2220	0000	000
		Receiving Inventory Account		001	01	000	1410	0000	000
	Profit & Loss Accounts	Clearing Account	Used for intercompany receivables in the procuring organization when the receiving organization is not the same as the procuring organization	001	01	000	1410	0000	000
		Sales	Tracks the default revenue account	001	01	520	4110	0000	000
	Other Accounts	Cost of Goods Sold	Tracks the default cost of goods sold account	001	01	450	5110	0000	000
		Deferred COGS Accounts	The price of good sold in the interface table (Invoice not Generated)	001	01	450	5110	0000	000
		Cost Variance Account	Under average costing with negative quantity balances	001	01	000	1410	0000	000
		Liability	Payable Account for all new suppliers	001	01	000	1001	0000	000
Procurement	Financial Options (Accounting)	Prepayment	The Prepayment account and description for a supplier site's invoices	001	01	000	1004	0000	000
		Bills Payable	Controlling the timing of your payments and, therefore, control your cash flow	001	01	000	2580	0000	000
		Discount Taken	Payables uses this account to record the discounts you take on payments	001	01	000	1004	0000	000
		PO RATE Variance Gain	To record the exchange rate variance gains for your inventory items	001	01	000	1003	0003	000
		PO RATE Variance Loss	To record the exchange rate variance losses for your inventory items	001	01	740	7844	0000	000
		Purchasing Options	Expense AP Accrual	001	01	000	1340	0000	000
		Inventory Purchasing Attributes	Expense Account	001	01	520	7530	0000	000

Notes:

* Some Vision Operations ledger accounts are employed.

Appendix B

ITEM CATEGORY	BRAND	Type	PRICE	SIZE
Face & Skin Care	Neutrogena	Face wash	180	
Face & Skin Care	La Roche	Sun Block	300	
Face & Skin Care	La Roche	Posay Serum	400	
Face & Skin Care	NIVEA	Moisturing Cream	100	Small
Face & Skin Care	NIVEA	Moisturing Cream	200	Large
Face & Skin Care	Garnier	Face Cleaner	180	
Face & Skin Care	Garnier Masks	Face Mask	84	
Face & Skin Care	Cerave	Moisturing Cream	250	
Face & Skin Care	L'Oréal Paris	Face Mask	415	
Face & Skin Care	Vichy	Anti Aging Cream	500	
Face & Skin Care	The Ordinary	Vitamin C Cream	300	
Face & Skin Care	Bioderma	Moisturing Cream	350	Small
Face & Skin Care	Bioderma	Moisturing Cream	400	Large
Face & Skin Care	Beesline	Serium	300	small
Face & Skin Care	Beesline	Serium	250	Large
Face & Skin Care	Eva	Mud Mask	70	Small
Face & Skin Care	Eva	Mud Mask	100	Large
Face & Skin Care	Bio Soft	Scrub Cream	120	Small
Face & Skin Care	Bio Soft	Scrub Cream	150	Large
Face & Skin Care	Clinique	Anti Aging Cream	600	Large
Face & Skin Care	Clinique	Anti Aging Cream	500	Small
Face & Skin Care	CeraVe	Face Wash	250	Small
Face & Skin Care	CeraVe	Face Wash	300	Large
Face & Skin Care	CeraVe	Moisturing Cream	400	
Face & Skin Care	Eucerin	Face wash	250	Small
Face & Skin Care	Eucerin	Face wash	300	Large
Face & Skin Care	Eucerin	Moisturing Cream	400	
Face & Skin Care	Avene	Miceller Water	150	Small
Face & Skin Care	Avene	Miceller Water	200	Large
Face & Skin Care	Avene	Face Cream	400	
Face & Skin Care	Isis Pharma	Sensitive Skin Care	250	
Face & Skin Care	Klorane	Face Cream	300	Small
Face & Skin Care	Klorane	Face Cream	400	Large
Face & Skin Care	Hada Labo	Serium	250	Small
Face & Skin Care	Hada Labo	Serium	300	Large
Face & Skin Care	Glysolid	Face Cream	100	Small
Face & Skin Care	Glysolid	Face Cream	150	Large
Face & Skin Care	Elancyl	Skin Cream	250	Small
Face & Skin Care	Elancyl	Skin Cream	300	Large
Face & Skin Care	Vaseline	Face Cream	50	Small
Face & Skin Care	Vaseline	Face Cream	100	Large
Hair Care	L'Oréal Paris	Shampoo	150	Small

ITEM CATEGORY	BRAND	Type	PRICE	SIZE
Hair Care	L'Oréal Paris	Shampoo	250	Large
Hair Care	Dove	Hair Mask	150	
Hair Care	Pantene	Shampoo and Palsam	80	
Hair Care	Head & Shoulders	Head & Shoulders Anti Dandruff	120	Small
Hair Care	Head & Shoulders	Head & Shoulders Anti Dandruff	150	Large
Hair Care	Raw African	Hair density increase product	255	
Hair Care	TRESemmé	Shampoo & Palsam	120	Small
Hair Care	TRESemmé	Shampoo & palsam	200	Large
Hair Care	Schwarzkopf	Hair Protection	200	Small
Hair Care	Schwarzkopf	Hair Protection	300	Large
Hair Care	L'Oréal Professionnel	Shampoo for Damaged Hair	150	Small
Hair Care	L'Oréal Professionnel	Shampoo for Damaged Hair	300	Large
Hair Care	Garnier Fructis	Hair Palsam	80	Small
Hair Care	Garnier Fructis	Hair Palsam	150	Large
Hair Care	Schauma	Shampoo & palsam	50	Small
Hair Care	Schauma	Shampoo & palsam	100	Large
Hair Care	Lavera	Natural Hair Product	200	Small
Hair Care	Lavera	Natural Hair Product	300	Large
Foot Care	Glysolid	Foot Cream	80	Small
Foot Care	Glysolid	Foot Cream	150	Large
Foot Care	Vaseline	foot moisturizing Cream	70	Small
Foot Care	Vaseline	foot moisturizing Cream	100	Large
Foot Care	Oriflame	Foot Scrub Cream	150	Small
Foot Care	Oriflame	Foot Scrub Cream	200	Large
Foot Care	Dr. Rashel	Foot Peeling spray	100	
Foot Care	Dr. Rashel	Exfoliating Foot Mask	180	
Foot Care	Eveline	Softening Cream for Cracked Heels	200	
Foot Care	Scholl	Foot Repair Cream	150	Small
Foot Care	Scholl	Foot Repair Cream	300	Large
Foot Care	Kiehl's	Moisture Squalane Cream	400	Small
Foot Care	Kiehl's	Moisture Squalane Cream	500	Large
Foot Care	Dr. Scholl	Foot Repair Hydrating Cream	150	Small
Foot Care	Dr. Scholl	Foot Repair Hydrating Cream	350	Large
Foot Care	Sofy	Silky Foot Care Cream	100	Small
Foot Care	Sofy	Silky Foot Care Cream	150	Large
Foot Care	Blistex	Intensive Moisturiser	80	Small
Foot Care	Blistex	Intensive Moisturiser	120	Large